Dropshipping in India, from the inside

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> Educational, not legal or tax advice. GST rates changed on 22 Sept 2025 and the Income-tax Act was replaced from April 2026. Confirm your setup with a CA.

1. How it works

- Three parties: **customer → you (store and seller of record) → supplier** (holds stock and ships under your name).
- You own: the brand, marketing and ad spend, the customer, invoices and refunds, legal liability, and cash flow (you pay the supplier before COD money arrives).
- You don't control: stock, product quality, packing speed, courier, or how many others sell the same product.
- **Dropshipping removes inventory risk and adds marketing risk.** In India, COD and RTO (returned parcels) decide whether you make money.

2. Worked example: DeoDap (dropshipping.deodap.com)

- Rajkot wholesaler, founded 2014, about 400 staff. Claims 12k+ SKUs in 35+ categories, 19k+ pin codes, 24–72h delivery, COD, white-label shipping, GST billing, 15k+ sellers.
- **Order flow:** Instagram ad → your Shopify store → COD confirmation by WhatsApp → order pushed to DeoDap panel → you pay wholesale price + shipping from your wallet → DeoDap packs (white label) → courier delivers or the parcel returns (RTO) → courier sends COD money to you about a week after delivery → you handle invoice, support and returns.
- Goods and money move in opposite directions. You pay first and get paid later.
- **How DeoDap earns:** about 10 paid plans (only the Mobile App plan price, ₹5,900, is published; the rest need a callback), plus margin in the "wholesale" price, plus services (account management, ads, listings, trademarks). The platform earns whether or not you profit.
- **Read the site critically:** countdown timers and a "webinar running now" banner (sales funnel); "₹0 risk" covers stock only; hidden prices; the calculator still offers 12% and 28% GST slabs (removed in GST 2.0).
- **The calculator has two answers:** "₹181 profit/order" but "₹25,608/month". 181 × 300 − 5,000 = 49,300, not 25,608. The site's own JS comments call the ₹181 per-order card "optimistic" and the monthly figure "honest".
- **Ask before paying:** the exact plan price and refund terms; RTO product credit and return freight; whose name is on the invoice; dispatch SLA and out-of-stock handling; stock sync method; BIS/FSSAI certificates; damage claim process; samples and seller references.

3. The real numbers (300 orders/month, ₹799 product, 18% GST)

Scenario	Key assumptions	Monthly profit
DeoDap default	Ads ₹120/order, RTO 20%, cancel 10%, no return freight/COD fee/gateway/returns	**+₹25,608**
Realistic new store	Ads ₹250, RTO 30%, return freight charged, 70% COD at ₹35 fee, 2% gateway, 5% returns	**≈ −₹41,900**
Well-run store (₹1,199 price, cost ₹300)	Ads ₹220, RTO 14%, cancel 6%, 45% COD	**≈ +₹58,200**

- The three inputs that decide the result: **ad cost per order, RTO %, COD share**.
- Benchmarks: COD RTO is commonly 25–30%, up to 40% in fashion and general merchandise; prepaid is under 2%; the Nov 2025 festive peak reached about 39%. The ad cost range of ₹200–400+ for new stores is an assumption; measure your own.
- A ₹799 item rarely survives paid ads plus COD. Aim for ₹999–1,999 order value through pricing, bundles and upsells.

4. Choosing a supplier

Type	Examples (verify current status)	Watch out for
B2B catalogue + paid plans	DeoDap, Baapstore	Plan fees, shared catalogue, markup
Shopify dropship apps	Roposo Clout and others	App fees, recent reviews
Print-on-demand	Qikink	Margins, print quality
Reseller marketplace	Meesho	Low prices; you don't own the customer
Manufacturers / wholesalers	IndiaMART, Surat/Rajkot/Delhi clusters	Shipping, minimum orders
Own stock + 3PL (next step)	Proven SKUs only	Inventory risk

Due diligence: order samples shipped to another state; check the supplier's GSTIN; get a written agreement (SLA, RTO, damage, invoice format, price notice); keep a backup supplier; no branded or "first copy" goods.

5. Legal and compliance

1. **Entity:** a sole proprietorship (PAN + current account) is cheapest; an LLP or Pvt Ltd limits liability. Udyam registration is optional.
2. **GST:** inter-state sales need **registration regardless of turnover** (Sec 24 CGST). The marketplace exemption (Notification 34/2023, turnover under ₹40L) covers **intra-state sales only**. Slabs are now mostly 5% / 18% (40% for luxury and sin goods). The supplier invoices you; you invoice the customer; you claim input credit. Marketplaces deduct **GST TCS of 0.5%** and **TDS of 0.1%** (Sec 194-O, now Sec 393(1) of the new Income-tax Act). Both can be claimed back.
3. **Consumer Protection (E-Commerce) Rules 2020:** seller details, grievance officer, return and refund policies, country of origin, all-inclusive price. **Dark patterns are banned** (CCPA 2023), including fake

timers and fake reviews.

4. **Legal Metrology:** MRP, net quantity, manufacturer/packer/importer details, month of manufacture, and customer care contact, on both the package and the listing.
5. **BIS QCOs** (toys, many electronics, helmets, cookware and more; the list changes). **FSSAI** for food and supplements; **CDSCO** for cosmetics and medical devices. Avoid these categories at first.
6. **Trademark:** search first, then file in Class 35 plus your product class. Don't use other brands' names or images.
7. **DPDP Act 2023 + Rules (notified 13 Nov 2025):** most obligations apply from **13 May 2027**. Have a privacy notice and get consent for marketing.
8. **Platform rules:** Amazon allows dropshipping only if you're the **seller of record**, with no other seller named on the slip, invoice or package. Payment gateways need KYC and policy pages. Meta bans misleading ads.

6. Daily operations

Channels: own Shopify site (most control, needs ad skill), Amazon/Flipkart (strict rules, fees), Meesho (thin margins), WhatsApp/Instagram reselling (cheap to test).

Daily loop: sync stock → check ad spend against orders → **confirm COD orders** → push to supplier and top up wallet → work NDRs within 24h → support. Weekly: reconcile COD, invoices and ad spend; remove products that lose money.

To reduce RTO: prepaid discount, small COD advance, block repeat refusers, honest product photos and videos, dispatch within 24h.

7. Shipping and COD

- Rates rise by zone (local, regional, metro, rest of India, North-East/J&K). "24–72h" applies to metros; remote areas take 5–8 days.
- You're billed on actual weight or volumetric weight (L×B×H/5000), whichever is higher.
- COD remittance: about D+8 days (Shiprocket, paid 3 times a week). Early payout costs about 0.5–1%.
- RTO usually adds return freight. Confirm whether the product cost is credited back to you.
- On shared catalogues, white-label packing is a plain box. Branded packaging needs your own stock.
- **Rozmiso / Stack n Stock angle:** test products by dropshipping, then move proven SKUs into stock you control. Speed, packaging, quality control and RTO handling are where warehouse capability turns into margin.

8. What nobody tells you

Shared catalogues lead to price wars · selling items that are out of stock · quality you haven't checked · cash squeeze as you grow · ad account bans · marketplace fund holds · GST notices · money spent on courses and plans with no sales · depending on one supplier.

9. A 90-day start plan

- **Days 1–30:** pick a niche, shortlist 15–20 products, order samples from 2–3 suppliers, register entity and GST, run a trademark search, build a compliant store, set up payment gateway and COD confirmation.
- **Days 31–60:** test 5–8 products at ₹500–1,000/day each; track ad cost/order, confirmation %, RTO % and profit per delivered order daily; drop products with no profit after about ₹5k ad spend.
- **Days 61–90:** scale 1–2 winners, raise order value, push prepaid (target RTO under 15%). Only then consider paid plans. Plan your own stock for the winners.

10. Glossary

RTO (return to origin) · NDR (non-delivery report) · COD · CAC (ad spend ÷ orders) · AOV · SKU · White label · Seller of record · TCS/TDS · HSN · 3PL.

Sources

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